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VIA EMAIL AND FIRST-CLASS MAIL

March 5, 2018

Secretary Rachel E. Dickon
Office of the Secretary
Federal Maritime Commission
800 N. Capitol Street, NW
Washington, DC 20573-0001

RE: Tarif Afif Chaouch v. Demetrios Air Freight Co., Demetrios International Shipping Co., Inc. and Troy Container Line LTD
Docket #: 18-02
Settlement Agreement – Joint Motion for Approval

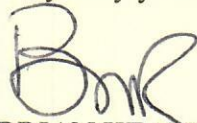
Dear Honorable Secretary Dickon:

We enclose an original and 5 copies of the Settlement Agreement referenced in the Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice and Memorandum of Points and Authorities in Support of Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice.

We will provide a courtesy copy to Honorable Administrative Law Judge Clay G. Guthridge.

If you have any questions regarding the above, please contact the undersigned at 617-313-2900.

Very truly yours,


BRIAN KEANE

BK/di
Encls.

cc via email: Henry Gonzalez, Esq.
Eugene McDonald, Esq.

110 K Street, Suite 330 Boston, MA 02127 | Phone: 617-313-2900 | Fax: 617-300-8949

Boston



New Bedford

FEDERAL MARITIME COMMISSION

DOCKET NO. 18-02

TARIK AFIF CHAOUCH

v.

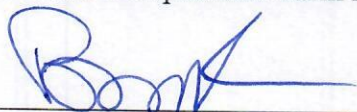
**DEMETRIOS AIR FREIGHT CO., DEMETRIOS INTERNATIONAL SHIPPING CO.,
INC., and TROY CONTAINER LINE LTD**

**JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT AND
DISMISSAL WITH PREJUDICE**

Pursuant to Rule 73 of the Federal Maritime Commission's Rule of Practice and Procedure, 46 C.F.R. §502 73, Complainant, Tarik Afif Chaouch ("Complainant") and Demetrios Air Freight Co., Inc., Demetrios International Shipping Co., Inc., and Troy Container Line Ltd. ("Respondents") through his respective attorneys, hereby jointly moves that the attached Settlement Agreement be approved, and this proceeding be dismissed with prejudice. The reasons supporting approval of the Settlement Agreement and dismissal of this proceeding with prejudice are set forth in the attached Memorandum of Points and Authorities in support of the Motion.

Respectfully submitted,

For the Complainant Tarik Afif Chaouch:



Brian Keane, BBO #656717
Keane Law Group, P.C.
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Boston, MA 02127
617-313-2900
bkeane@keanelawgroup.com

Date: 3/5/18

[Signature Line Follows]

For the Respondents Demetrios International Shipping Co., Inc., and Troy Container Line Ltd.:

Henry Gonzalez / BK
Henry P. Gonzalez, LL.M.
Gonzalez del Valle Law
Attorney-Member
1250 Connecticut Ave., N.W., Suite 200
Washington, DC 20036
202.973-2980
gonzalez@gdvlegal.com

Date: 3/5/18

For the Respondent: Troy Container Line Ltd.:

Eugene McDonald / BK
Eugene McDonald, Esq.
7 Crown Place
Matawan, NJ 07747
Telephone: 732-583-8485
eugene@mcdonaldmarinelaw.com

Date: _____

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the following addresses by email on March 5, 2018.

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Eugene McDonald, Esq.
7 Crown Place
Matawan, NJ 07747
Telephone: 732-583-8485
Facsimile: 732-583-9737
Eugene@mcdonaldmarinelaw.com

Counsel for Respondents



Brian Keane, Esq.

FEDERAL MARITIME COMMISSION

DOCKET NO. 18-02

TARIK AFIF CHAOUCH

v.

**DEMETRIOS AIR FREIGHT CO., DEMETRIOS INTERNATIONAL SHIPPING CO.,
INC., AND TROY CONTAINER LINE LTD**

**MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT OF JOINT MOTION
FOR APPROVAL OF SETTLEMENT AGREEMENT AND DISMISSAL WITH
PREJUDICE**

Complainant, Tarik Afif Chaouch, and Respondents, Demetrios Air Freight Co., Demetrios International Shipping Co., Inc., and Troy Container Line Ltd., in support of their Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice. The parties believe that the proposed settlement meets the Commission's criteria for approval of settlement agreement and therefore should be approved.

I. BACKGROUND

This proceeding was commenced by a complaint filed on or about December 22, 2017. The complaint alleges that the complainant shipped two (2) 2014 Ford Mustangs. The complaint further alleged that either Demetrios Air Freight Co., Demetrios International Shipping Co., Inc. or Troy Container Line Ltd. loaded both Mustangs on one bill of lading although they were supposed to be on one bill of lading. Because of this alleged mistake, the vehicles were impounded in Algiers, Algeria for approximately four (4) months. Complainant alleged that the bill of lading error caused significant issues and monetary damages when the containers arrived in Algeria. Demetrious and Troy dispute and deny all the allegations in the Complaint and that they would

have asserted potential affirmative defenses had this proceeding continued. Complainant and Respondents desire to avoid the costs and delay of any litigation and have agreed to compromise and settle Tarik Afif Chaouch's claim based upon the terms and conditions set forth in a Settlement Agreement attached hereto.

II. AUTHORITY FOR SETTLEMENT

The Administrative Procedure Act ("APA"), 5 U.S.C. § 554(c)(1), requires agencies to give interested parties an opportunity, *inter alia*, to submit offers of settlement "when time, the nature of the proceeding, and the public interest permit." As the legislative history of the APA makes clear, Congress intended this particular provision to be read broadly so as to encourage the use of settlement in proceedings such as the present one:

... even where formal hearing and decision procedures are available to parties, the agencies and the parties are authorized to undertake the informal settlement of cases in whole or in part before undertaking the more formal hearing procedure. Even courts through pretrial proceedings dispose of much of their business in that fashion. There is much more reason to do so in the administrative process, for informal procedures constitute the vast bulk of administrative adjudication. The statutory recognition of such informal methods should strengthen the administrative an-n and serve to advise private parties that they may legitimately attempt to dispose of cases at least in part through conferences, agreements, or stipulations.

Senate Committee on the Judiciary, Administrative Procedure Act-Legislative History, S. Doc. No. 248, 79th Cong., 2d Sess. 24 (1946).

Courts have endorsed the use of the APA settlement provision "to eliminate the need for often costly and lengthy formal hearings in those cases where the parties are able to reach a result of their own which the appropriate agency finds compatible with the public interest."

Pennsylvania Gas and Water v. Federal Power Commission, 463 F.2d 1242, 1247 (D.C. Cir.1972).

The Commission itself has long recognized that the law strongly favors settlements:

...the law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy ... The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts and it is thus advantageous to judicial administration, and, in turn, to government as a whole.

Old Ben Coal Company v. Sea-Land Service, Inc., 21 F.M.C. 506, 512 (1978). See also *Del Monte Corp. v. Matson Navigation Co.*, 22 F.M.C. 365 (1979); *United Van Lines, Inc. and United Van Lines International, Inc. v. United Shipping USA, Inc.*, 27 S.R.R. 769 (ALJ 1996) (administratively final May 29, 1996).

Rule 91 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.91, codifies the *Old Ben Coal* holding in language borrowed in part from the APA, 5 U.S.C. § 554(c)(1). In accordance with Rule 91 and its policy favoring settlements, the Commission has approved settlement of disputes between private parties. See, e.g., *United Van Lines*, supra; *Delhi Petroleum Pty. Limited v. US. Atlantic & Gulf/Australia-New Zealand Conference and Columbus Line, Inc.*, 24 S.R.R. 1129 (ALI 1988) (administratively final September 19, 1988).

III. CRITERIA FOR APPROVAL OF SETTLEMENT

The Commission may approve a settlement when it does not contravene any law or public policy, is fair, adequate and reasonable, and is not the product of collusion or coercion. *Delhi Petroleum* at 1134. The Commission also considers whether there is a reasonable basis for the settlement and whether the settlement reflects the careful consideration of the parties with respect to factors such as the relative strengths of their positions weighed against the risks and costs of continued litigation. *Id.*

The settlement agreement in this proceeding meets the foregoing criteria. In light of the foregoing, the settlement is fair, adequate and reasonable, particularly given the costs and risks of

litigation and the amount of damages claimed. Moreover, as all parties are represented by competent counsel and have entered into this settlement willingly, the settlement is not the product of collusion or coercion.

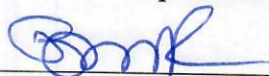
For the foregoing reasons, the parties submit that the proposed settlement meets all the criteria for the Commission approval of the settlement.

CONCLUSION

The Commission should accept the Settlement Agreement of Complainant and Respondents, and to make a finding (1) that the settlement is fair and reasonable under the circumstances, that dismissal of the Proceedings, (2) that the settlement is in consistent with the intent of 46 CFR §503.91, and (3) that the settlement will not conflict with or contravene the purposes or principles of the Shipping Act. The Commission should further discontinue the proceedings with prejudice but without costs to either party.

Respectfully submitted,

For the Complainant Tarik Afif Chaouch:



Brian Keane, BBO #656717
Keane Law Group, P.C.
110 K Street, Suite 330
Boston, MA 02127
617-313-2900
bkeane@keanelawgroup.com

Date: 3/5/18

[Signature Line Follows]

For the Respondents Demetrios International Shipping Co., Inc., and Troy Container Line Ltd.:

Henry Gonzalez /BK

Henry P. Gonzalez, LL.M.

Gonzalez del Valle Law

Attorney-Member

1250 Connecticut Ave., N.W., Suite 200

Washington, DC 20036

202.973-2980

gonzalez@gdvlegal.com

Date: 3/5/18

For the Respondent: Troy Container Line Ltd.:

Eugene McDonald /BK

Eugene McDonald, Esq.

7 Crown Place

Matawan, NJ 07747

Telephone: 732-583-8485

eugene@mcdonaldmarinelaw.com

Date: 3/5/18

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the following by email on March 5, 2018.

Henry P. Gonzalez, LL.M.
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Eugene McDonald, Esq.
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Matawan, NJ 07747
Telephone: 732-583-8485
Facsimile: 732-583-9737
Eugene@mcdonaldmarinelaw.com

Counsel for Respondents



Brian Keane

SETTLEMENT AGREEMENT AND MUTUAL RELEASE

Tarik Afif Chaouch and Demetrios Air Freight Co., Demetrios International Shipping Co., Inc., and Troy Container Line Ltd. enter into this legally binding Settlement Agreement and Mutual Release (the "AGREEMENT") to resolve certain disputes, as set forth below in the Recitals (the "Dispute").

RECITALS

- a. On or about December 22, 2017, Tarik Afif Chaouch, filed a formal complaint against Demetrios and Troy with the Federal Maritime Commission ("FMC"), FMC Docket No. 18-02, seeking for damages in the amount of \$21,086.70 related to a shipment of "two 2014 Ford Mustangs" destined to Algeria, Vessel: MSC LAURA; On Board Date: 12/28/2014; Bill of Lading: 1221988.
- b. Tarik Afif Chaouch alleged that Demetrios and/or Troy improperly placed two vehicles on one bill of lading causing him significant issues and monetary damages when the containers arrived in Algeria.
- c. Demetrios and Troy dispute and deny all of Tarik Afif Chaouch's allegations, and would have asserted potential affirmative defenses.
- d. Tarik Afif Chaouch and Demetrios and Troy desire to avoid the costs and delay of any litigation and have agreed to compromise and settle Tarik Afif Chaouch's claim based upon the terms and conditions set forth herein.

1. PAYMENT OF SETTLEMENT FUNDS

Tarik Afif Chaouch and Demetrios and Troy agree to settle the above-referenced claim for \$3,500.00, to be apportioned in half between Troy and Demetrios or \$1,750.00 respectively. It is further agreed that the settlement checks are to be made payable to: Keane Law Group as attorneys for Tarik Afif Chaouch and be delivered to: Keane Law Group, 110 K Street, Suite 330, Boston, MA 02127

2. RELEASE AND DISCHARGE

- a. For and in consideration of a payment by Demetrios and Troy to Tarik Afif Chaouch in the sum of twenty thousand dollars (\$3,500.00), each party to this AGREEMENT (collectively, the "MUTUAL RELEASERS") completely releases and forever discharges each other party and its respective successors, successors-in-interest, assigns, subsidiaries, affiliated or related legal entities, shareholders, officers, directors, principals, agents, employees, servants, representatives, and all persons and individuals including Demetrios Air Freight Co., Demetrios International Shipping Co., Inc. and Troy Container Line Ltd., associations, and corporations connected with them, including, without limitation, their insurers, sureties, and attorneys, of and from any and all claims, demands, causes of action, obligations, liens, damages, losses, costs, attorneys' fees, and expenses of every kind and nature whatsoever, known and unknown, fixed or contingent arising of the Dispute, including, without limitation, any claims for alleged breach of the implied covenant of good faith and fair dealing, which the MUTUAL RELEASERS may have or may hereafter have against the MUTUAL

RELEASEES by reason of any matter, cause, or thing arising out of, or in any manner connected with the DISPUTE. This release shall extend to Demetrious and Troy.

b. The releases set forth herein shall extend to every type of claim whether based on a tort, contract, or other theory of recovery that the MUTUAL RELEASERS now have, or that may hereafter accrue or otherwise be acquired, on account of, or in any way arising out of the facts giving rise to the DISPUTE.

c. The MUTUAL RELEASERS acknowledge and agree that the releases and discharges set forth herein constitute a general release. The MUTUAL RELEASERS expressly waive and assume the risk of any and all claims for damages that exist as of this date, but of which they do not know or suspect to exist, whether through ignorance, oversight, error, negligence, or otherwise, and which, if known, would materially affect their respective decisions to enter into this AGREEMENT. The MUTUAL RELEASERS further agree that they have accepted the consideration herein as a complete compromise of matters involving disputed issues of law and fact arising out of the Dispute. The MUTUAL RELEASERS assume the risk that the law or facts may be other than what they believe. THE MUTUAL RELEASERS understand and agree that this AGREEMENT is a compromise of disputed claims, and the payments are not to be construed as an admission of liability on the part of the MUTUAL RELEASEES, who expressly deny liability.

d. The MUTUAL RELEASERS acknowledge that they have had the benefit of legal counsel, and have been advised of, understand, and knowingly and specifically waive their rights under any state, federal, and administrative law.

3. ATTORNEYS' FEES AND COSTS

Each party to this AGREEMENT shall bear all attorneys' fees and costs arising from the DISPUTE of its own counsel in connection with the DISPUTE and/or this AGREEMENT and the matters and documents referred to herein.

4. WARRANTY OF AUTHORIZED SIGNATURES

Each signatory hereto warrants and represents that he or she is competent and authorized to enter into this AGREEMENT on behalf of the party for which such signatory purports to sign. Each signatory hereto agrees to defend, indemnify, and hold harmless each other party against any claim, suit, or demand, including necessary expenses of investigation and reasonable attorneys' fees, in which it may be asserted that such signatory was not competent and/or so authorized to execute this AGREEMENT and/or to receive the consideration set forth herein.

5. ENTIRE AGREEMENT AND SUCCESSORS IN INTEREST

a. This AGREEMENT is the parties' final expression and entire agreement arising out of or in any way relating to the DISPUTE. This AGREEMENT sets forth the parties' entire understanding and it supersedes all contemporaneous and prior oral and written understandings and agreements that arise out of or are in any way related to the subject matter of the AGREEMENT. This AGREEMENT shall be binding upon and inure to the benefit of the executors, administrators, officers, stockholders, personal and individual representatives, heirs, successors, and assigns of each MUTUAL RELEASER.

b. Tarik Afif Chaouch and Demetrious and Troy agree that this Settlement Agreement is entered knowingly and voluntarily, after having the opportunity to fully discuss it with their respective attorneys. Having had the opportunity to obtain the advice of legal counsel to review, comment upon, and redraft the agreement, the parties agree that the Agreement shall be construed as if the parties jointly prepared it so that any uncertainty or ambiguity shall not be interpreted against any one party and in favor of the other;

6. GOVERNING LAW

This AGREEMENT shall be interpreted in accordance with and governed in all respects by the laws of the State of Massachusetts.

7. SEVERABILITY

If any provision of this AGREEMENT shall for any reason be held to be invalid or unenforceable, then the remainder of this AGREEMENT shall be unaffected thereby and remain in full force and effect.

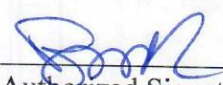
8. EFFECTIVE DATE

This AGREEMENT shall become effective on the date on which the last party to sign does so.

9. COUNTERPARTS

The parties may sign this AGREEMENT in counterparts, and each signed counterpart shall become part of the final AGREEMENT and shall have the same force and effect. A copy of any signature on a signature page, including, without limitation, a facsimile or scanned electronic copy, shall be as valid and binding as an original signature.

**Brian Keane, Esq., as Attorney for,
Tarik Afif Chaouch**



Authorized Signature:

BRIAN KEANE

Printed Name:

Attorney

Title:

3/5/18

Date:

[Signature Page Follows]

Henry P. Gonzalez. LL.M., as Attorney for,
Demetrios Air Freight Co., and
Demetrios International Shipping Co., Inc.

Henry Gonzalez /BK
Authorized Signature
HENRY GONZALEZ
Printed Name
A. HERNANDEZ
Title
3/5/18
Date

Eugene McDonald, Esq., as Attorneys for,
Troy Container Lines, Ltd.

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Authorized Signature
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